

CRNC
CRNC N/A

Hold	\$11.50 ▼ 0.26%	12M Price Target \$13.00	52-Week Range \$5.85 – \$13.74	Market Cap \$520M
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CRNC: Auto AI Recovery Story, But Show Me The Money

WHAT HAPPENED

- Stock is basically flat today (\$11.50, -0.26%) but has quietly climbed from \$10.61 last Friday — that's a ~8% run in a week on light volume, which usually means short-covering (traders who bet against the stock buying back to close positions) rather than fresh institutional buying. Today's volume is only 71K shares, meaning nobody's committing capital either direction.
- No fresh news. The market is still digesting the May 8 Q2 earnings miss and the expanded BYD partnership for LLM-powered (large language model — think ChatGPT-style) in-car voice AI. The stock is grinding higher because the tape is calm and CRNC sits near the top of its 52-week range.

WHY IT MATTERS

Here's the read: CRNC is a small-cap (\$520M) auto software company that missed earnings two months ago but has quietly recovered to 72% of its 52-week range — that tells me the story shifted from "broken" to "wait and see." The BYD LLM partnership matters because Chinese EV makers are the fastest-growing auto segment globally, and CRNC getting deeper embedded there is a real revenue offset if Western OEMs (original equipment manufacturers — the Fords and GMs) keep cutting production. But here's the tension: 81% institutional ownership with only 272 holders means this is a concentrated, illiquid name — when a big holder decides to leave, it moves fast. Bullish options flow (2:1 calls-to-puts) suggests traders are positioning for upside catalyst, likely next earnings.

POLICY & POLITICAL WATCH

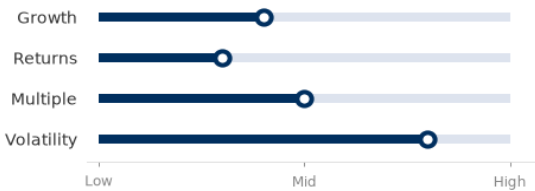
The big political overhang is auto tariffs — the Trump administration's tariff regime on imported vehicles and auto parts directly pressures CRNC's OEM customers, because when Ford and Volkswagen cut production or delay new models, CRNC's licensing revenue (they get paid per car shipped) takes a hit. On the flip side, the deepening BYD partnership is a double-edged sword: China auto exposure is a growth driver, but if U.S.-China tech decoupling escalates (export controls on AI models to Chinese firms), CRNC could get caught in the crossfire. Watch the EU's AI Act enforcement too — in-car voice assistants using LLMs face new transparency requirements starting in 2026, and CRNC's compliance costs there are real.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$11.50
12M Price Target	\$13.00
Upside / (Downside)	+13.0%
Market Cap	\$520M
FY2026E Revenue	\$236M
FY2027E Revenue	\$255M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$13.50	\$11.75	\$9.50
6 Months	\$16.00	\$12.50	\$8.00
1 Year	\$18.00	\$13.00	\$7.00
2 Years	\$22.00	\$15.00	\$6.00
5 Years	\$30.00	\$18.00	\$4.00
10 Years	\$45.00	\$22.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+4.4% over 5 days) and Financials (+3.4%) — money is rotating into defensive quality and rate-sensitive names, likely on softer economic data setting up rate-cut hopes.

COOLING OFF: Utilities and Energy — both down over 5 days, which suggests the "safe yield" trade is unwinding as bond yields move.

ROTATION WATCH: Nothing screams "auto/AI tailwind" in today's sector tape — CRNC isn't riding a thematic wave right now, which is why the move up has been quiet.

RELATED PLAY: If you like the software-defined vehicle theme but want less single-name risk, look at Mobileye (MBLY) or the automotive semi names (NXPI, ON) — they benefit from the same "cars becoming computers" trend with better balance sheets.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): Direct voice AI competitor trading at a much richer multiple — the market clearly prefers the "pure AI" narrative over CRNC's auto-tied one.
- MBLY (Mobileye): Auto AI/ADAS play with more scale and better OEM diversification.

CRNC CONTEXT: CRNC is lagging the pure-play AI names but outperforming pure auto suppliers — it's stuck in an identity crisis between the two, and the stock won't fully re-rate until management picks a lane and executes.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm neutral leaning cautiously optimistic; the setup is improving but I need to see one more clean quarter before committing.

POSITION SIZE: 1-2% max — this is a small-cap turnaround with real balance sheet and customer concentration risk. Don't oversize.

ENTRY POINTS: I'd wait for a pullback to \$9-10 on any market wobble — chasing at \$11.50 after an 8% week is bad risk/reward.

TIME HORIZON: 12-18 months, with next earnings (August-ish) as the key checkpoint — I want to see revenue stabilize and the BYD deal show up in numbers.

WHEN TO BAIL: If they miss revenue again or announce a capital raise, I'm out immediately. Same if a major OEM (Toyota, VW, Ford) publicly moves to a competitor.

HEDGING: Simplest hedge is just keeping the position small. If you want to get fancy, short a bit of SOUN against it — if the whole voice AI space rolls over, SOUN falls harder because it's more expensive; if the space rallies, CRNC catches up on valuation.